going on, and to earn the trust of private persons by displaying knowledge and an intellectual framework.

How much time do we have?

A useful insight from global history is that macroeconomic/financial crises play out reasonably slowly. They are not like wars, which play out rapidly. As an example, the Indo-Pakistan war of 1971 ran from 3 December to 16 December. Macroeconomic/financial crises play out over longer time periods. As an example, the East Asian Crisis ran from 1997 to 1999. [9]

Ordinarily, the policy process in a liberal democracy must be slow and deliberative. Ideas need to be discussed, consensus needs to be achieved, political compromises need to be negotiated, and each announcement must come with a future date on which it becomes effective. Policymaking in a crisis needs to be a bit faster than this.

A crisis is, at heart, an outbreak of fear in the minds of private decision makers. The objective of policymakers should be to show a complete understanding of the situation, and multiple initiatives that address problems in the main, so that the fear can subside. The sooner the fear subsides, the sooner the macroeconomy will heal. Through every day of delay, the positive feedback loops induce greater damage.

This objective of speed in a crisis involves two capacity constraints. The first is the capacity constraint of the leadership: how quickly can the leadership understand the crisis, and do a high-level design of the responses? The second capacity constraint is that of execution. There is a shortage of staffers in the Ministry of Finance, the RBI and SEBI who can lead sub-components of the overall crisis management. Can multiple initiatives be run in parallel, without loss of fidelity to the original objective?